If Ya Done It, It Ain't Braggin'

We've been told often enough that all we need do to retire rich is to start early to save and invest, and favor stocks over bonds or baseball cards.

Good advice. But it does leave a question or two unanswered. Like, "Okay, but which stocks?" And (I can also hear you muttering), "Why should I turn to this guy Wanger for the answer?"

I can understand why you'd ask that. People who do what I do for a living have lost considerable credibility. I'm sure you've read that something like 80 percent of professional managers deserve to be topped with a dunce cap and sent to stand in the corner. They have failed to provide any better results than if their shareholders had passively accepted whatever the market chose to give them—that is, if they had sat quietly in an index fund. Finance theory suggests that in the long run an index fund will indeed beat four out of five actively managed mutual funds. So it is gratifying to be able to state that—at least as of the end of 1996—I am one of the fortunate fifth. The Acorn Fund, which I've been managing since its launch in 1970, has given its shareholders an average annual return (through the third quarter of 1996) of 16.8 percent, while the Standard & Poor's 500 Index has managed 13.1 percent. That kind of differential adds up to big bucks over twenty-five years; we'll look at the numbers later.

You could say I was lucky, and often I have been. But one suspects that something more than luck has been at work. You can be lucky for five years, maybe ten. But twenty-five? Any system successful for that long would seem to have more going for it than just chance.

Also, as you will see, my approach to the market was decided upon right from the fund's beginning. This is a way of investing that has weathered every sort of market.

If I begin with this unseemly boasting, it is only to establish cred-